

Legal Environment of Business Law 200



Assignment on

Who are the debenture holders in countries that follow Sharia law?

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Introduction

Investors who purchase a company's debt instruments, or debentures, are known as debenture holders. Interest or *riba* is not permitted in nations that uphold Sharia law, such as Saudi Arabia and Malaysia. As a result, businesses operating in these nations must design their debenture offers following Sharia law. The features of debenture holders in different nations and the operation of Sharia-compliant debentures are briefly discussed in this article.

For instance, a portion of the loan is known as a debenture. The company's creditor is represented by the holder of the debenture.

Basic tenets of Sariah law

1. No Fixed Interest Rate: According to Sharia law, fixed interest is forbidden. Therefore, businesses cannot issue debentures stating cleared borrowing fees. As a result, they have been modified and the loan cost is now connected to the success and failure of the organization. In the case that a benefit is large, people are more interested, and vice versa.

2. There is no choice for savings: Islamic doctrine recommends investing rather than holding money in a bank. Since misfortune and increased odds are connected, open-constrained companies here provide securities like offers, subsidiaries, destinies, and so forth. Securities are less likely to be issued since they are linked to agreed-upon borrowing costs or salaries.

3. Use of money as a product: Another rule of Islamic Sharia law prohibits using money as a product. This implies that we cannot use cash as a medium of exchange for our firm. Since people in these countries frequently look for speculative opportunities where risk is involved and goods are unique there, open-constrained enterprises are encouraged to raise funds here as well.

Saudi Arabia

Islamic banks in Saudi Arabia offer Sukuk, Sharia-compliant debentures. Instead of being pure debt, a Sukuk gives investors ownership of a real item or project in exchange for a portion of the profits made by the asset or project.

The following are some key aspects of debenture holders in Saudi Arabia:

Nature of Investment: Sukuk holders invest in projects or assets, and they receive a fixed return based on profits generated by the project or asset.

Risk Management: Sukuk holders have limited liability, meaning they are not liable for any losses beyond their initial investment. The issuer of Sukuk assumes most of the risk associated with the project or asset.

Legal Framework: Saudi Arabia's Capital Market Authority (CMA) oversees the issue of Sukuk. The CMA makes sure that the Sukuk issuance adheres to Sharia standards and is fair, transparent, and reported appropriately.

Malaysia

Companies in Malaysia also issue Islamic bonds, or sukuk, which are debentures that adhere to Sharia law. Asset-based or asset-backed securities are two different ways that sukuk can be arranged. Asset-backed sukuk indicates ownership in a collection of assets used to fund the issue, whereas asset-based sukuk represents ownership in an underlying asset.

The following are some key aspects of debenture holders in Malaysia:

Nature of Investment: Similar to Saudi Arabia, holders of sukuk engage in projects or assets and earn a fixed return depending on the profits made by the project or asset.

Risk Management: Holders of Sukuk are only responsible for losses that exceed their initial investment because of restricted liability. The majority of the risk involved with the project or asset is taken on by the Sukuk issuer.

Legal Framework: Sukuk issuance is governed by Malaysia's Securities Commission. The commission makes sure that the issuing of sukuk is transparent, equitable, and fully disclosed while also adhering to Shariah standards.

Conclusion

In conclusion, holders of debentures in nations that uphold Sharia law invest in debentures that adhere to the law, as opposed to traditional debt instruments. Debentures issued in these nations must adhere to Sharia law, which forbids paying interest or riba. Companies offer Sukuk, which is not only debt but rather ownership in a tangible asset or project, and investors get a cut of the profits made by the asset or project. For investors looking for assets that adhere to Sharia law, these debentures provide an alternative investment choice.

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